ACCTG 202, MANAGERIAL ACCOUNTING
Winter 2001

Instructor: Brother Hawkins,CPA,CFP **Office:** Smith 488
Phone: 1486 **e-mail:** hawkinsc@ricks.edu

Office Hours: M&F 9-9:50amm T&Th 3-3:50pm W 4-4:50pm Other times by appointment.

Prerequisites: Satisfactory completion of Accounting 201 or equivalent.

Course Description and Objectives: Emphasizes use of accounting data in decision making and seeks to sharpen analytical and interpretative skills. Covers product costing, cost behavior, segmented reporting, profit planning, standard costing, alternative choice decision making, statement of cash flow and statement analysis.

Text: *Managerial Accounting, Ninth Edition by Garrison*

Evaluation:

Exams (4)	80%	* Problem=6 points
Ethics case	5	Exercise=3
Homework*	15	Question=1 point(s)
	100%	10 points for attendance at Executive Seminar

Grading: The above evaluation tools are converted to percentages and weighted so that 90-100% is the A range, 80-90% B, 70-80% C, 60-70% D, and less than 60% is F. A retake is available for each Exam except for the final. Students who retake exams will receive the last test score for that exam if it is higher. If the retake score is lower, an average of the two scores will be recorded.

Policies:

1. **Homework** Because of intensive nature of course, generally **no credit is given for late homework or tests.** To get credit for late homework I must be notified in advance and agree to receive the homework late. The course revolves around the anticipation, doing, and explaining of homework. Please do the homework in pencil and make corrections in class in pen. Except for geniuses, most students find that the explanations of the instructor are helpful in learning accounting. Consistent attendance is expected.
2. **Exams** Exams will be given in the Testing Center--Monday through Friday 8am-10pm and Saturday 10am-2pm. The last test is given out one hour before closing time. **Students must accept responsibility for bringing a #2 pencil, taking the tests before they close and allowing sufficient time for them.** Lines often are a problem at night before an American Heritage or Health Science test closes. Mornings and afternoons are safer times to take tests in the Testing Center.
3. **Dress and Grooming** One of the major goals at Ricks College is that of providing quality educational opportunities in a rich spiritual environment. To obtain this desired level of spiritual influence, students are asked to observe all points of the Code of Honor as defined in the "R" book and Ricks College's catalog. We take this opportunity to remind you of the commitment you made to live the Code of Honor when you signed your application form to Ricks College.
4. **Cheating** will not be tolerated.
5. **Disabilities** In compliance with applicable disability law, qualified students with a **disability** may be entitled to "reasonable accommodation." It is the student's responsibility to disclose to the teacher any special need she/he may have before the end of the first week of class.

Ethics Case The grade assigned to the following ethics case will be determined by the student's recognition of accounting and ethical issues involved, logical development of response, and grammar and presentation skills. The length should be approximately one type-written page.

GA Company

The top management of GA is well known for "managing by the numbers." With an eye on the company's desired growth in overall net profit, the company's CEO (chief executive officer) sets target profits at the beginning of the year for each of the company's divisions. The CEO has stated her policy as follows: "I won't interfere with operations in the divisions. I am available for advice, but the division vice presidents are free to do anything they want so long as they hit the target profits for the year."

In November, Stan, the vice president of the Cellular Division, saw that making the current year's target profit for his division was going to be difficult. Among other actions, he directed that discretionary expenditures be delayed until the beginning of the new year. On December 30, he was angered to discover that a warehouse clerk had ordered $350,000 of telephone parts earlier in December even though the parts weren't really needed by the assembly department until January or February. Contrary to common accounting practice, the GA Accounting Policy Manual states that such parts are to be recorded as an expense when delivered. To avoid recording the expense, Stan asked that the order be canceled, but the purchasing department reported that the parts had already been delivered and the supplier would not accept returns. Since the bill had not yet been paid, Stan asked the accounting department to correct the clerk's mistake by delaying recognition of the delivery until the bill is paid in January.

1. Are Stan's actions ethical? Explain why or why not.

2. Do the general management philosophy and accounting policies at GA encourage or discourage ethical behavior? Explain.

SCHEDULE: (**Q** = question **E** = exercise **P** = problem) The following represents a tentative schedule for this class. The instructor reserves the right to make changes, deletions, corrections, or additions during the course. You will be given advance notice on changes.

Date	Homework	In Class	Topics
1/10		PP1 I6(3) pg 7	Intro, JIT
12	Q1:7-11 Q18:2,5-11	pg 848 Deming	Financial Analysis
15	**Human Rights Day**		
17	E18:1-4	E18:7	Ratios
19	P18:9,10(1)		
22	P18:19 Q17:2,3,7	E17:3,1	Cash Flows
24	P17:9 E17:4,5		Indirect Method
26	E17:7 P17:12		Property Transactions
29	Q17:4-6,8,10,11,13,14 **Exam #1(1,17,18)**		
31	Q2:1-6,8,9		Materials Flow
2/2	E2:1-3,5	P2:10(1)	Manufacturing Schedule
5	P2:10,14 E2:4,6		
7	P2:16(1,2) Q3:2-4	E3:5,6	Job Order Costing
9	**GA Ethics Case**		Frontline

Classes dropped after this date receive a "W" grade.

12	E3:3,4,7	E3:8 I61	Over(Under)Applied
14	E3:9,10 Q3:5		
16	Q3:10-12,14,15 E3:11 Q5:1-3	E5:3	Cost Behavior
19	**Presidents Holiday**		
21	E5:1,9,10		
23	Q6:1,3-5,9-13 E6:1	E6:2	Cost/Volume/Profit
26	E6:3-6		Breakeven
28	E6:7-8 Q7:3,6-10,12	Q7:1 E7:3	What if?
3/2	E7:1,2,5	**Exam #2(2,3,5,6)**	Absorption/Variable Costing
5	E7:6,7 Q8:1,2,7,10	PP8	Activity Based Costing
7	E8:4,5	P8:16	
9	P8:18 Q9:1,5,7,8,11		Budgets
12	E9:1-3	E9:5	Cash Budgets
13	**Last day to drop full semester classes.**		
14	E9:4 P9:10 Q9:12-14	E9:6	Operating Budgets
16	E9:8 P9:9 Q10:1,5,6	E10:3,4 EOQ	
19	P10:11 E10:7 Q10:19,20	I1(3)	Standard Costs
21	Q10:8-10, 12-14 E10:5,8		MCE
23	Q11:1,2 E11:1-3		Flexible Budgets
26	E11:4-6 Q12:1-4,6-9	E12:1	Segments
28	E12:2-4 **Exam #3(7-11)**	E12:8 ROI	
30	**Spring Break**		
4/ 2	E12:7,9,10		Residual Income
4	Q13:1,9-10,14-15 E13:3,5		Relevant Costs
6	E13:6-8,10		
9	P13:13 Q14:1-3,6	E14:1(2)	Time Value of Money
11	E14:1-3		Present Value
13	E14:4,6,10		Net Present Value
16	El4:5,8 P14:16		Profitability Index
18	Q15:1,2,5-8		After-Tax
20	E15:1,2		MACRs
23	E15:3,4		

25 Wednesday **Exam #4(12-15)** for 3pm section in Smith 404 9:10-10:40am

25 Wednesday **Exam #4(12-15)** for 8am section in Smith 404 2:10-3:40pm.

26 Thursday **Exam #4(12-15)** for 10am section in Smith 404 10:50-12:20. **Be there!**

HAVE A GREAT SUMMER!